



“This is the time when the world’s capital is going to come to India in [larger] volumes... Therefore, Peak XV, as a standalone fund, has immense possibilities”

PRANAV PAI
FOUNDING PARTNER & CIO,
3ONE4 CAPITAL



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MOHIT GULATI
MANAGING GENERAL PARTNER,
ITI GROWTH OPPORTUNITIES FUND

next two to three years.

“In the next 10 years, we think an Indian company will be among the Top 3 in the world in every category of software. There’s a reason for that. There will be \$16–20 trillion of GDP in our region. When these companies get to \$5-, \$10- or \$20 million (revenue), their products improve a lot, and they will be able to compete in the US and Europe too. Our objective is to be in as many of those companies over the next 10 years. It’s the same objective that the [Sequoia] US team also has,” he says.

Despite the rebranding, Mohit Gulati, Managing General Partner at ITI Growth Opportunities Fund, feels the Peak XV team has built a solid reputation that LPs and founders will find compelling. “This is a strong team. They have shown their calibre over several years of hard work. They are the ones who dictate where the market goes. They’ll continue to attract a steady stream of high quality entrepreneurs.”

The real challenge now will be in deploying its sizeable war chest.

“The problem now in India is that they don’t have the ability to cut those \$20–50-million cheques because they are not seeing any company crossing that Series B, C mark with corporate governance in the right place and numbers actually [adding] up. It is sort of everyone’s

problem. For Peak XV, they are now restricted to India and SEA and this \$2.5 billion needs to find its home in the next 12 months,” says a top executive at an investment bank that works with leading Indian VCs.

Singh acknowledges the dearth of opportunities. “Our sweet spot is \$20–50 million for growth-stage investments, and sometimes we can go higher. Our fund structure allows us to invest even \$100 million growth cheques if we would like to, but we will do that only if we find something special. So, for growth-stage investments, we have over \$1 billion available and we can also make investments from our Southeast Asia fund. We have found fewer growth opportunities than we would have liked in the last six months and we are hoping that our growth will accelerate in the months ahead,” Singh says.

With its 60-member team, Peak XV is aiming to double down on investments in cross-border opportunities. And it plans to set up a team in the US soon to help start-ups from India and other SEA geographies recruit talent, build capabilities and expand customer base. Singh expects Peak XV’s portfolio composition to move further towards the software side with an increased focus on AI-centric opportunities. The company has signed five term sheets in the first two weeks of the rebrand.

Peak XV is patient and focussed on the long-term India. “In India, you have to be patient and very long term. If you want to do stuff very quickly, it’s going to be challenging. All India investors that take a multi-decade view are very nicely rewarded. We are very patient, very committed. We are just going to keep doing what we’ve been doing, year in and year out,” says Singh.

Like Singh says, it’s a brand new day for Peak XV, a chance to embark on a fresh journey and craft its own narrative in the region, drawing inspiration from its parent. But it must navigate the immediate challenges first. **BT**

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